TIMBER
INDUSTRY REVIEW

Rowan Das
October 2026

Opening Statement

Timberland works a lot like infrastructure: a real asset that lasts for decades, keeps up with inflation and has given steady returns over long, slow cycles. Profit comes from growing trees and cutting them, so it depends on how much wood the land adds each year, what logs sell for and what it costs to cut and haul them. Growth is measured by the mean annual increment (MAI), the average volume a stand has added per year, and the current annual increment (CAI), what it adds in a single year. When CAI falls back to meet MAI, average growth has peaked, which is the classic time to harvest. It is also an old business: J.D. Irving started in 1882, Green Diamond in 1890 and Weyerhaeuser in 1900. Big investors arrived after the 1974 ERISA law pushed U.S. pensions to diversify, TIMOs (timberland investment management organizations) followed, and by 2012 institutions had about US$60bn in timberland. Since 1990 the U.S. timberland index has had only three down years, none worse than 5.2%.

How Timberlands Make Money

Revenue = harvest volume × log price, less the cost of harvesting, hauling, roads, replanting and management, plus rent when the trees grow on someone else's land. Volume depends on how fast trees grow, which depends on species and site quality, so buyers value a forest with yield tables that show how much wood a stand holds at each age. MAI = total volume / age, so a stand holding 400 m³ per hectare at age 40 has an MAI of 10 m³/ha/yr.

Market Exposure

Land. Land tends to rise in value and can be sold for higher uses like housing, conservation or solar. Weyerhaeuser booked US$266M of gains on land sales in 2025.

Trees. Standing timber is a biological asset. Under IFRS (IAS 41) it is valued at fair value every year, apart from the land, so faster growth or higher log prices show up as profit before a tree is cut. To value the trees alone, appraisers charge a notional rent for the land they stand on.

Carbon. Growing forests absorb CO_2, and each carbon credit stands for one tonne. Weyerhaeuser's climate solutions business earned US$119M of EBITDA in 2025.

Why It Looks Like Infrastructure

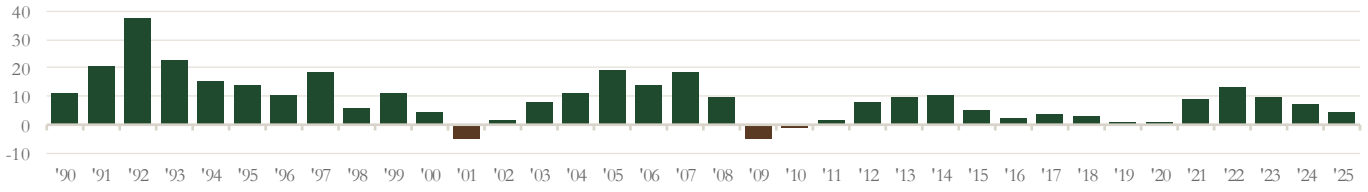
Like a toll road, timberland is a long-lived real asset held for decades, with cash flows that tend to rise with inflation and the same few buyers (pensions, endowments, TIMOs and REITs) coming back again and again, which lets them use a low discount rate. Over the last ten years NCREIF beat CPI inflation by about 2.5 points a year, and it holds up when stocks fall: +9.5% in 2008 when the S&P 500 lost 37%, and +12.9% in 2022 when it lost 18%.

(US$ unless noted)

Key Stats	
NCREIF Timberland (U.S.)	
Annual return, 1991-2024	9.3%
U.S. equities, same period	*11.2%*
Volatility, timber vs. equities	9.1% / 17.4%
Correlation with equities	0.11
Correlation with CPI	0.29
Average income return	4.0%
Down years since 1990	**3 of 36**
Institutional Timberland	
Invested, 1990	< $1bn
Invested, 2006	$30bn+
Invested, 2012	**~$60bn**
Canada's Forest Land	
Provincial and territorial	90%
Federal	4%
Private	6%



NCREIF Timberland Index, Annual Total Return (%)



Down years in brown: 2001 (-5.2%), 2009 (-4.7%) and 2010 (-0.1%). 2008 was +9.5% while the S&P 500 fell 37%. 2025: +4.6%.

Who Owns the Forest: Execution and Regulation

In Canada, 94% of forest land is public, so most companies don't own their forests: they hold long-term licences to harvest Crown timber and pay the province stumpage on every cubic metre. Indigenous rights shape where and how much can be cut, and the Supreme Court recognized Aboriginal title over B.C. forest land in its 2014 Tsilhqot'in decision. Large foreign purchases face review under the Investment Canada Act, or by the Overseas Investment Office in New Zealand, and rules such as B.C.'s old-growth deferrals and caribou protections can take timber off the table after a deal closes.

TIMBER
KEY MACRO DRIVERS

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What Moves Timber Values

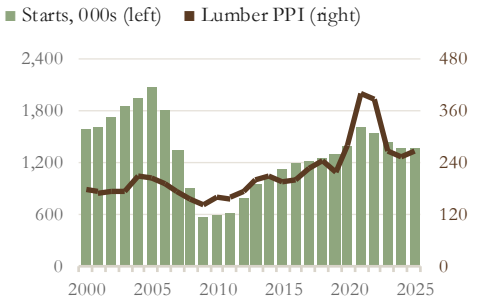
Landowners sell logs, mills turn them into lumber, panels and pulp, and builders and homeowners buy the end product. Anything that slows that chain, from mortgage rates to a trade dispute, flows back to the price of a log. Wood is heavy and cheap per tonne, so markets are local: a forest is only worth what the mills near it will pay.

Key Macroeconomic Drivers

Housing and Remodelling

Lumber demand follows housing. An average U.S. single-family home uses more than 13,000 board feet of lumber, and repairs and renovations add steady demand on top. U.S. housing starts fell from 1.60M in 2021 to 1.36M in 2025, and the softwood lumber price index fell by a third over the same years.

U.S. Housing Starts vs. Lumber Prices



PPI: softwood lumber, 1982 = 100, annual average.

Consumer Sentiment and Spending

When buyers feel stretched they put off new homes and renovations, so builders slow projects and order less wood. With 30-year mortgage rates still around 6.7% in mid-2026, West Fraser blamed weak 2025 demand on housing affordability.

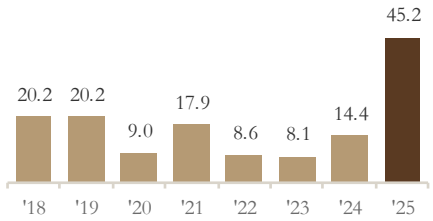
Mill Capacity and Stump Availability

A forest needs mills nearby to buy its logs, and mills need logs. In B.C., beetles, wildfires and new rules cut the 2023 harvest to 42% below the allowable annual cut, a level not seen since the 1960s, so logs got scarce and expensive and mills closed. Every closure leaves landowners with fewer bidders and longer hauls.

Input Costs, Fuel and Freight

Harvesting, hauling and milling all run on diesel, and logs are low value per tonne, so freight decides how far wood can travel. U.S. diesel hit $6.20 a gallon in early October 2026, up about $2.49 from a year earlier, which squeezes logging contractors and mills that can't pass costs on in a weak lumber market.

U.S. Duty on Canadian Softwood (%)



Tariffs and Trade

Canada supplies about a quarter of the softwood lumber the U.S. uses, so U.S. trade policy hits Canadian mills directly. Duties on most Canadian producers jumped from 14.4% to 35.2% in August 2025, and a 10% Section 232 tariff from October took the total to about 45%. On August 22, 2026 the U.S. added 50% tariffs on about US$20bn of Canadian goods, including plywood, MDF, mouldings, doors and wood furniture, and on September 8 Canada answered with surtaxes on C$27.6bn of U.S. goods, including 25% on U.S. softwood lumber. A review now under way could cut the duty to about 25%.

Weather, Fire and Pests

Fire, insects and storms destroy standing inventory, and there is no futures market deep enough to hedge them. The mountain pine beetle killed more than half of B.C.'s merchantable pine, and 2023 was B.C.'s worst fire season on record, with 2.84M hectares burned. Owners manage the risk by spreading forests across regions and age classes, building roads and fire breaks, and salvaging damaged wood quickly.

ESG, Carbon and Regulation

Builders, lenders and governments want certified, low-carbon wood, and forests that store carbon can sell credits on top of logs. The other side is more rules: certification, protected habitat and old-growth deferrals all reduce how much wood can be cut.

2008: When Every Driver Turned at Once

U.S. housing starts fell 73%, from 2.07M in 2005 to 554,000 in 2009, and the composite lumber price halved from $386 to $198 per thousand board feet between May 2005 and May 2009. Canada's lumber output fell 44% from 2006 to 2009, the biggest drop in more than 70 years, and Weyerhaeuser lost US$1.2bn in 2008 and US$545M in 2009.

Timberland held up far better: NCREIF returned +9.5% in 2008 and slipped only 4.7% in 2009 and 0.1% in 2010, because owners could leave trees standing until prices came back, and standing trees keep growing. In a downturn the mills take the hit and landowners can wait.

TIMBER
KEY INDUSTRY TRENDS

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Industry Outlook

Demand for wood keeps growing. The average American uses the equivalent of one 100-foot-tall tree a year in wood and paper, and the FAO expects world roundwood use to rise 49% by 2050 from 2020. The global timber and wood products market is forecast to grow about 5.5% a year, from US$1.03 trillion in 2026 to US$1.43 trillion by 2032. In 2024 world industrial roundwood removals rose 2% to 1.96 billion m³, and trade in wood and paper products rose to US$486bn.

Key Industry Trends

Growing More Wood per Hectare

Better genetics, site preparation and thinning keep pushing MAI up, which is why plantation regions win. Brazil's eucalyptus plantations averaged 38.9 m³/ha/yr in 2021, up from 10 in 1970. New Zealand radiata pine averages about 27 m³/ha/yr and is cut at around 28 years, while slow-growing northern species take 50 to 75 years to reach harvest size.

Paper, Packaging and Recycling

Printing paper keeps shrinking, but packaging grows with e-commerce, and world paper and paperboard output rose 4-5% in 2024. Recycling stretches the supply: the U.S. recycled about 46M tons of paper in 2024, and recovered paper made up 44.4% of the fibre U.S. mills used.

Engineered Wood and Mass Timber

Engineered wood turns smaller, lower-value logs into high-value products like CLT, glulam, LVL and OSB for buildings and better furniture. The market is forecast to grow from US$298bn in 2026 to US$473bn by 2035, about 5.3% a year, and codes are opening up: the 2021 International Building Code allows mass timber up to 18 storeys, and Canada's 2020 code allows 12.

AI, LiDAR and Log Inventory

Owners used to count trees by hand in sample plots. Airborne LiDAR now maps more than half of Canada's managed forest, measuring tree height and volume from the air, and Ontario's LiDAR inventory covers 555,000 km². Paired with AI models, it gives owners a better count of the wood they own and when to cut it.

Mechanized Harvesting

Harvesters fell, delimb and cut trees to length with one operator, and processing plants scan and grade each stem for its best-value log. At Kaingaroa (page 5), Timberlands harvests more than 6,000 ha a year and runs 1.5M stems a year through its mechanized plant.

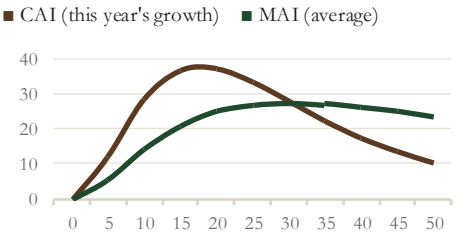
Sustainability and Partnerships

To stay competitive in a tough market, companies are getting bigger and working with partners. Rayonier and PotlatchDeltic closed their merger in January 2026, creating a company with over 4M acres, and more forests are run in partnership with Indigenous landowners, as at Kaingaroa.

Forest Products Snapshot

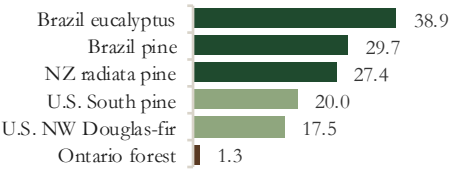
World Output, 2024 (YoY)	
Industrial roundwood	+2%
Wood-based panels	+5%
Paper and paperboard	+4-5%
Wood pulp	+3%
Sawnwood	Flat
Sawnwood, North America	(2%)
U.S. Recycling, 2024	
Paper recycling rate	60-64%
Cardboard (OCC) rate	69-74%
Recovered share of mill fibre	44.4%
Forecast Growth	
Timber & wood products, 2026-32	5.5%/yr
Engineered wood, 2026-35	5.3%/yr
World roundwood use, 2020-50	+49%

Yield Curve: Radiata Pine (m³/ha/yr)



Stand age on the axis. Model scaled to NZ's average MAI of 27.4; MAI peaks where CAI crosses it, near age 30.

Growth Rate by Region (MAI, m³/ha/yr)



Regional Performance

United States. Starts held near 1.36M; pine lumber and OSB in surplus.

Canada. Output fell 8% after the 2025 duty jump, and 13% in B.C.

New Zealand. NZ$6.28bn of forestry exports in 2025, 55% of it to China.

South America. Brazil, Chile and Uruguay added much of 2024's new pulp supply.

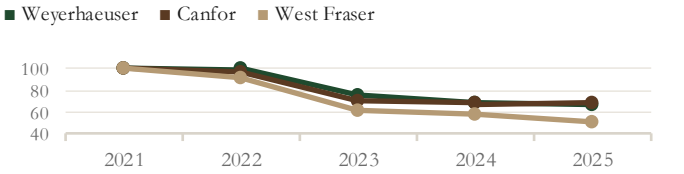
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KEY INDUSTRY PLAYERS

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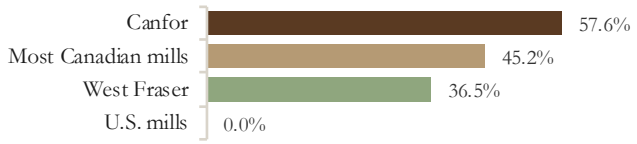
Competitive Landscape

Timber has two kinds of players. Landowners such as Weyerhaeuser, Rayonier, J.D. Irving and Green Diamond own the trees and earn from growth, log sales, land sales and carbon. Canada's big lumber makers, West Fraser and Canfor, mostly cut Crown timber under licence and earn the gap between lumber prices and log costs. Since 2021 the whole chain has gone down together: lumber prices fell by a third, U.S. housing starts fell 15%, and all three companies lost a third to half of their sales. The Canadian mills were hit hardest by duties of about 45% and B.C.'s log shortage. Weyerhaeuser pays no duty and is still profitable, but its stock is down about half from its 2022 peak.

Revenue, Indexed (2021 = 100)



Duty + Tariff on Lumber Sold into the U.S. (%)



Lumber and Panels: West Fraser (NYSE / TSX: WFG)

West Fraser is one of North America's biggest lumber and OSB makers, with mills in Canada, the U.S. South and Europe. Sales fell from US$10.5bn in 2021 to US$5.5bn in 2025, and 2025 ended with a US$937M net loss after US$712M of closure and impairment charges. Adjusted EBITDA was just US$56M, or 1% of sales. Management blamed higher duties and tariffs, too much Southern yellow pine lumber and OSB on the market, and weak demand from housing affordability. Its own duty rate is lower than its peers' and its U.S. mills pay none, but it still closed lumber and OSB mills late in 2025 to match capacity to demand.

Lumber and Pulp: Canfor (TSX: CFP)

Canfor has been hit hardest. Sales fell from C$7.7bn in 2021 to C$5.3bn in 2025, and it lost money three years running: C$326M in 2023, C$669M in 2024 and C$797M in 2025. It pays the highest duty of the big producers, 47.6% plus the 10% tariff, and its B.C. mills sit in the tightest log supply in the country. Canfor has closed the Polar sawmill (300M board feet a year), a Northwood pulp line and Fox Creek in Alberta, and bought Hedin's sawmills in Europe in 2025 to grow outside B.C. Its quarterly loss narrowed to C$18.5M in Q2 2026.

Timberland Owner: Weyerhaeuser (NYSE: WY)

Weyerhaeuser owns or controls more than 10M acres of U.S. timberland, so it sells its own logs, pays no softwood duty and can slow harvests when prices are low. 2025 sales slipped 3% to US$6.9bn, but it still earned US$324M. Wood products EBITDA fell from US$661M to US$250M, while timberlands rose to US$581M and real estate, energy and natural resources rose to US$411M, including US$119M from climate solutions. It sold about 114,000 acres for US$406M in late 2025, with 108,000 acres in Virginia for US$193M to follow, which turns land value into cash.

Family and REIT Landowners: J.D. Irving, Green Diamond, Rayonier

Large private owners compete with TIMOs and REITs for the best land. J.D. Irving, a family company that started in New Brunswick in 1882, owns 3.2M acres across Maine, New Brunswick and Nova Scotia. Green Diamond, founded in 1890 as Simpson Logging and still family-owned, manages 2.2M acres in nine states, with over 700,000 acres in carbon projects. The REITs are consolidating: Rayonier and PotlatchDeltic closed their merger in January 2026 with just over 4M acres and six sawmills.

TIMBER
DEAL SPOTLIGHT

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PSP Investments and New Zealand's Kaingaroa Forest

Kaingaroa is New Zealand's largest plantation forest: about 190,000 ha of plantable land between Rotorua and Taupō, mostly radiata pine, cutting about 4M m³ of logs a year. PSP Investments, which invests for Canada's federal public sector pension plans, bought 30% from Harvard's endowment in December 2012 and is now the largest owner with about 55%, next to the NZ Super Fund (42%) and a group of local iwi (about 3%). Timberlands Ltd runs the forest under FSC certification. The deal brings together most of this report: a long-lived real asset, fast growth, separate land and tree ownership, and a buyer with a decades-long horizon.

How the Forest Changed Hands

The government planted most of Kaingaroa from the late 1920s. The Crown sold the cutting rights in 1996 for NZ$2.2bn, the owner later went into receivership, and Harvard bought the rights in 2004 for about US$650M, beating China's CITIC. Harvard sold about 40% to the NZ Super Fund in 2006 for roughly NZ$300M and 30% to PSP in 2012. NZ Super sold 2.5% to six iwi in 2014, and by 2017 Harvard was out and PSP held about 55%.

Land and Trees, Owned Separately

Kaingaroa is the two-asset idea from page 1 in practice. In 2008 the Crown settled Treaty claims by returning more than 176,000 ha of Central North Island forest land to a collective of iwi. The partnership owns the trees and holds a Crown forestry licence to grow and cut them, paying rent to the iwi (about NZ$15M a year across the CNI lands in 2008). PSP owns the trees and the right to grow them, not the land.

Why PSP Bought

PSP pointed to some of the best softwood growing conditions in the world, a strong local processing industry and access to Asian export markets, plus diversification, inflation protection and strong risk-adjusted returns. Radiata pine there grows about 20 times as much wood per hectare as Ontario's managed forest, and with 94% of Canada's forest publicly owned, a Canadian pension that wants to own forest at scale mostly has to look abroad.

What It Has Earned

Returns aren't disclosed, but NZ Super's stake rose from about NZ$300M in 2006 to NZ$954M by June 2012, about 3.2x in under six years before cash payouts, or roughly 22% a year (est.). In the year to June 2017 the forest was revalued from NZ$2.5bn to NZ$2.8bn and profit reached NZ$401M on NZ$373M of sales, because IAS 41 puts the rise in tree value through profit.

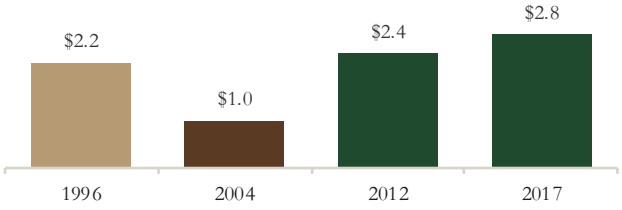
Risks

China takes 55% of New Zealand's forestry exports, so Chinese construction drives log prices. A stronger NZ dollar cuts export income, storms and fire can wipe out years of growth, and the owners rely on the iwi as long-term landlords.

Deal Terms	
Asset	**Kaingaroa Forest, NZ**
Plantable area	**~190,000 ha**
Species	**Radiata pine**
Annual harvest	**~4M m³**
Announced	**Dec-2012**
Buyer	**PSP Investments**
Seller	**Harvard Mgmt. Co.**
Stake bought	**30%**
Price	**Not disclosed**
Implied value (100%)	**~NZ$2.4bn**
PSP stake today	**~55%**
Land owner	**CNI iwi (since 2009)**
Forest manager	**Timberlands Ltd**



What the Forest Was Worth (NZ$bn, 100%)



Who Owns Kaingaroa (%)

